

THE MAIN EVENT

Economic Reforms and Liberalisation

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RAO WITH MANMOHAN SINGH

Here is something that Rajiv Gandhi forgot to do as prime minister. He talked about taking India into the 21st century, but forgot all about the present one and the opposition it may have in the future. P.V. Narasimha Rao, and his finance minister, Manmohan Singh, got it just right. On the one hand, they sang praises about Nehruvian socialism. On the other, they took the country by the scruff of the neck and said move, or we all die. The fact that they drew practically no flak is an indication of how well the duo played the game. The industrial policy proposals were explosive. For one, they heralded the end of the licence raj. Barely had Parliament recovered from the industrial policy on July 24, when it was presented with a budget that showed deft political footwork. *India Today*, August 15, 1991

ALSO

- Former prime minister Rajiv Gandhi is assassinated
- India pledges 20 tonnes gold to tide over the FOREX crisis
- An earthquake of magnitude 6.5 rocks Uttarakashi, killing more than 100 people

|1991| PRIVATISATION OF AIRLINES

Flights of Fancy

The early aviation players may have failed but they started a revolution

In the year the government threw open the doors of India's moribund public sector economy, one enterprising poultry farmer from Karjat had a bright idea. Wouldn't it be great to launch an airline that offered great service and actually cared for its customers, Parvez Damania, then 32, thought. In the days of whimsical flight schedules, when matronly Indian Airlines air hostesses and terrible food epitomised the stifling government control over the civil aviation sector, good service, a given today, was practically unthinkable. The government had handed out the first few licenses to private operators, as "air taxis". A dynamic civil aviation minister, Madhavrao Scindia, opened the sector to competition by modifying the Air Corporations Act, 1953. Damania Airways, which debuted in 1992, ushered in a legion of Pretty Young Things in short skirts and courteous service. The seats began filling up soon. By 1992, they were carrying over two lakh passengers even though they accounted for just 2 per cent of traffic. But the dark clouds were fast filling up and Scindia's resignation was only the first of their woes. Capital was hard to raise and trained manpower difficult to recruit. Making money was not as easy as the players had thought. They were further hobbled by harsh government rules on not advertising their flight schedules or hiring pilots from state-owned carriers. Eventually, Damania's smartest move was in reading which way the wind sock was blowing. He sold the airline brand and its five 737-200 aircraft to NEPC's Ravi Prakash Khemka in 1995, less than three years after his maiden flight when "the numbers didn't add up". The buy-out was doomed and both NEPC and Damania passed into the crypt of the first wave of aviation entrepreneurs inscribed with brands like East West and ModiLuft. Their legacy as the pioneers of the aviation boom Version 1 however endures in today's private airlines like Jet Airways and Kingfisher who along with Spicejet, Paramount, Indigo and Go Air command over 80 per cent of the civil aviation sector and fly 39 lakh passengers every month.

by Sandeep Unnithan

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BY 1992, PRIVATE AIRLINES CARRIED TWO LAKH PASSENGERS, 2 PER CENT OF THE TOTAL TRAFFIC.